Novo Nordisk (NOVO-B.CO): DCF Valuation

Similoluwa Abe – 12/10/2026 – DKK Millions

Summary: Cheap, medium confidence

Base-case fair value	DKK 543 per share
Share Price (12/10/2026)	DKK 256.70
Implied upside	+112%
If margins fall to 30%	DKK 395 (still +54%)
Margin the share Price implies	~21% (vs 41% in 2025)
Scenario range	DKK 305 (bear) to DKK 633 (bull)

The DCF model values Novo Nordisk at DKK 543 per share, around double the current price. I deliberately made the base case slightly optimistic, but if profit margins are cut from 40% to 30% the shares still look undervalued. Working backwards, today's share price only holds if Novo Nordisk's operating margin falls to about 21%, from 41% last year. It can be deduced that the market is overly cautious and treating GLP-1 drugs as an overinflated boom and underestimating the potential profits Novo Nordisk can continue to make.

About Novo Nordisk

Novo Nordisk is a Danish pharmaceutical company that makes drugs including GLP-1 medications, sold as injectables (Ozempic and Wegovy) and tablets. These are used to treat diabetes and obesity. I chose to value Novo Nordisk because of a curiosity to see the numbers behind GLP-1s.

FY2025, *Yahoo Finance*

Revenue	309,064
Operating Income	127,658 (41% margin)
Capital Expenditure	90,113 (29% of revenue)
Net Debt (Debt-Cash)	87,132
Shares outstanding (A+B shares)	4,414m

Assumptions

- Revenue growth: -3%, +2%, +5%, +5%, +4% (2026-30). The 2026 figure follows the midpoint of Novo Nordisk's guidance (0% to -6%). The recovery after this point is slightly optimistic, but can be justified by continued GLP-1 demand, and Novo Nordisk's continued development of products aside from GLP-1s and their potential to sustain growth beyond GLP-1s.
- Operating margin: 41% → 40%. I expect Novo Nordisk to keep a large margin, but 40% is high. Price cuts and competition could squeeze it, which is why I test a fall to 32% below.
- Factory spending: 24% → 8% of revenue. I assume there will be a fall back to normal level after the one-off 29% in 2025 due to the GLP-1 build-out.
- Beta: 0.54 instead of Yahoo's 0.38. Yahoo Finance indicates Novo Nordisk's beta at 0.38. Using this figure makes Novo Nordisk look almost risk-free and more than doubles the valuation to DKK 818. I instead used the Bloomberg adjusted beta formula:

$Adjusted\ Beta = \left(\frac{2}{3} \times Raw\ Beta\right) + (\frac{1}{3} \times 1.0)$. I took the average beta (0.31) from comparable pharmaceutical companies, Eli Lilly (0.45), AstraZeneca (0.21) and Pfizer (0.28) and adjusted, producing a new beta of 0.54. This produces a discount rate (WACC) of 5.9%.

- Long-term growth after 2030: 2%, roughly in line with inflation.

Scenarios

Scenario	Value per share	vs price
Bull: top of 2026 guidance, faster recovery, 42% margin	633	+147%
Base case	543	+112%
Margin falls from 40% to 32% by 2030	433	+69%
Margin drops to 30% from 2027	395	+54%
Bear: weak growth, margin to 32%, 1% long-term growth	305	+19%
Base case with a more cautious beta of 0.8	398	+55%

Every scenario tested values the shares above today's price (including the bear case and higher beta).

What does the share price imply?

I did not want to solely focus on what Novo Nordisk is worth, so I asked what the market sentiment has to be to justify a share price of DKK 257. Keeping my other assumptions the same, the model's value equals today's price when the operating margin is about 21% every year, around half of the 41% Novo Nordisk made in 2025.

In other words, the current price assumes Novo Nordisk's margin halves and never recovers. Price cuts and competition will push margins down, but I think a fall that large is too pessimistic for a company of Novo Nordisk's scale and range of products.

Sensitivity: value per share (DKK)

Discount rate/long-term growth	1.0%	1.5%	2.0%	2.5%	3.0%
4.92%	561	638	741	887	1108
5.42%	494	552	628	729	872
5.92%	440	486	543	617	717
6.42%	396	433	478	534	607
6.92%	360	390	426	470	526

Across the whole table, the value stays above the current price of DKK 257.

Risks

- US price cuts on GLP-1 drugs: pressure from the government and insurers could reduce both sales and margins.
- Competition, especially from Eli Lilly: Lilly's rival obesity and diabetes drugs are taking market share.
- The market may be right: if GLP-1s really are an overinflated boom, my growth assumptions are too high.
- The valuation depends on the long term: 87% of the value comes from after 2030, and the base case implies Novo Nordisk is worth about 17x its 2030 EBITDA, above the 10-15x typical for large pharmaceutical companies.

Conclusion

I believe Novo Nordisk's shares are cheap at DKK 256.70. My base case is slightly optimistic, but even with a 30% margin, a bear case or a more cautious beta, the valuation stays above the current price, and the market is implicitly pricing in a margin of around 21%. My confidence is medium rather than high, because the result relies heavily on long-term assumptions, implies a fairly high multiple, and the market may be right to worry about competition and pricing.

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